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ince taking charge of Havells India in 2014, Anil Rai Gupta, 52, has not only doubled the

size of the electrical equipment company, but has also expanded its portfolio into newer markets like consumer durables. The Chairman and Managing Director, in an interview with *Business Today's* Arnab Dutta, explains how he is planning to grow Havells by going deeper into the hinterlands, expanding manufacturing into components, and scaling back the overseas business. Edited excerpts:

Q: How has the recovery been since the second wave of Covid-19? Was the impact of the lockdowns any different than in 2020?

A: Overall, the business scenario looks positive now. Since the second wave, business activity has improved and is now in a much better state. After the lockdowns in mid-2021, positive momentum continued even up to Diwali (early-November). Since then, the markets have slowed a bit, but that's temporary; it hasn't impacted business much. Though the euphoria is not at the same level as it was before Diwali, overall the mood is better.

During the second wave, unlike in 2020, there wasn't a complete lockdown. So plants were rolling and so were sales. While we didn't witness pent-up demand after the lockdowns were lifted in mid-2021, sales were better.

Q: After the first wave, you expected a slow recovery in the B2B segment, while the B2C business bounced back. Has the scenario changed?

A: After the lockdowns in 2020, we witnessed a good recovery in the B2C segment. As people were spending more time inside, they refurbished their homes and bought better appliances, which aided demand recovery. The initial pent-up demand held on because demand for residential real estate jumped. But in 2021, we observed a recovery in the B2B segment too. Government spending has improved, [the] capex cycle has come back and

real estate, which is the B2B segment for us, is recording further growth. Since the second wave, the recovery in the B2B segment has been better... We are witnessing better demand in the B2B segment after a very long time. There are three key factors [for this]: First, the real estate market has bounced back, which did not happen probably in the past 10 years. Second, as consumer demand bounced back in 2020, capital expenditure began taking place. And finally, increase in government spending, especially in large-scale infrastructure projects. All these helped in the B2B demand recovery.

Q: How is inflation impacting the business and the overall consumption pattern?

A: I think inflation is too high, which can affect demand in the medium term but generally things are in better shape than earlier. There is tremendous pressure—at least in our industry—due to a steep rise in the prices of key raw materials. Commodities like copper, aluminium, steel and plastics, apart from electronics items, have got dearer. As crude prices surged, the cost of plastics went up; electronics prices shot up due to [a] shortage. Due to huge demand uptick post-Covid-19 and excessive supply of money, prices of key metals went up. That has necessitated price increases.

This kind of inflation leads to [a] slowdown in demand as consumers tend to postpone purchases. However, the market is still growing. It indicates that

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there is a strong recovery—both in the real estate sector and also in the capex cycle. While recovery in the real estate sector is visible, the capex cycle has started to turn around. So, I think, if... let's say in the medium term, raw material prices stabilise and/or come down... then there is a robust demand cycle waiting. I am banking on this revival because in spite of prices